

Global Strategy: Class #1

Mapping the Global Arena

Grolsch Beer

Leandro “Leo” Pongeluppe

The Wharton School – Management Department

pongelup@wharton.upenn.edu / www.LeandroPongeluppe.com



Is Globalization still relevant?

It's a Flat World, After All
(Friedman, 2005)

VS

Why the World Isn't Flat
(Ghemawat, 2007)



Is Globalization Still Relevant?

International Relations Main Theoretical Perspectives

	Realism	Liberalism
Main Actor (Unity of Analysis)	States	States, multinational corporations, multilateral institutions, and individuals
Core Beliefs	Self-interested sovereign States compete for survival, security, and power	Spread of democracy, economic interdependence, international organizations assure peace
Main Instruments	Military power, war, and state diplomacy	International institutions and global trade
Nature of the I.R.	Conflictive	Cooperative
Is globalization still relevant?	Can exist if it does not threaten states survival and does not alter the international balance of power	Economic and social interconnectedness guarantees peace and prosperity to all

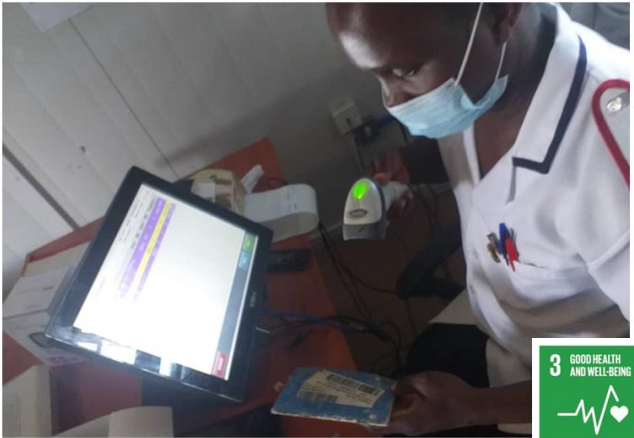
Note: Developed by the author, based on Baylis, Smith, and Owens (2008). "The Globalization of World Politics: An Introduction to International Relations". Ed. Oxford. 4th Edition.

Is Globalization Still Relevant?

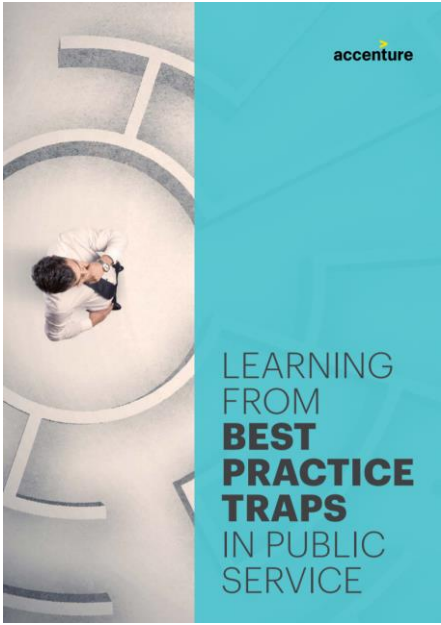
International Relations Main Theoretical Perspectives				
	Realism	Liberalism	Marxism	Constructivism
Main Actor (Unity of Analysis)	States	States, multinational corporations, multilateral institutions, and individuals	Social classes	Ideas, social movements, and social identities
Core Beliefs	Self-interested sovereign States compete for survival, security, and power	Spread of democracy, economic interdependence, international organizations assure peace	International class struggle. Division of the world into core and peripheral areas. International capitalism (superstructure) works to preserve domination and exploration	International politics is shaped by persuasive ideas, collective values, culture, and social identities
Main Instruments	Military power, war, and state diplomacy	International institutions and global trade	Resistance, revolution, and emancipation	Ideas and values
Nature of the I.R.	Conflictive	Cooperative	Exploitative	Dubious
Is globalization still relevant?	Can exist if it does not threaten states survival and does not alter the international balance of power	Economic and social interconnectedness guarantees peace and prosperity to all	Its not a new phenomena, it is the continuing phase of capitalism's imperialistic expansion	It is the diffusion process of Western ideas and norms. It will suffer resistance from individuals and movements with different identities.

Note: Developed by the author, based on Baylis, Smith, and Owens (2008). "The Globalization of World Politics: An Introduction to International Relations". Ed. Oxford. 4th Edition.

A Little About Me



Picture taken by Abdallah Chilungu.



Insper METRICiS



consulting | technology | outsourcing

Institute for High Performance

High-Growth Markets: Scaling Business Innovations to Grow with the Emerging Middle Class

By Raghav Narsalay, Ryan T. Coffey and Leandro Pongeluppe



What to expect from this class...

Strange Brazilian accent

Typoos and grammar many mistakes

Neologisms, or better said, words that do not exist (at least not in English)

and ...

Some Global Management content.

Please, stop me and ask for clarifications!

let's just talk in English?

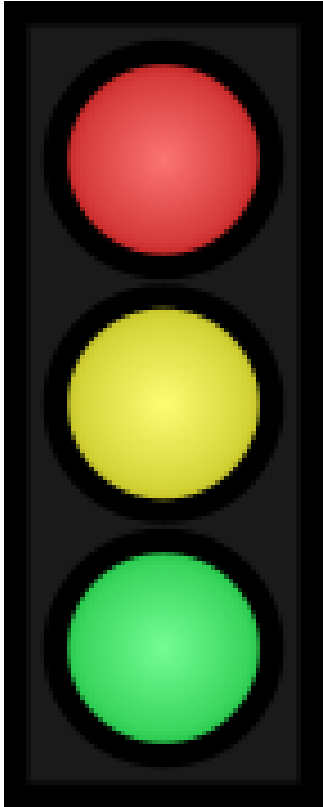
/vamos conversar em inglês?/

(phr.) 1 drunk Brazilians deciding to talk to each other in another language.

📷 greengodictionary



What We Are Trying to Solve in the Global Module

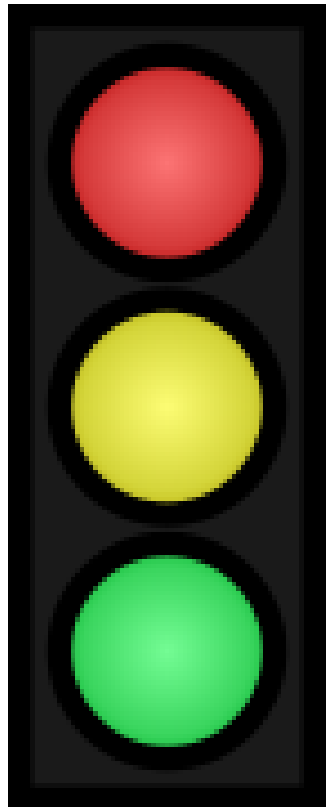


Should we go abroad?

Where should we go?

How should we go?

What We Are Trying to Solve in the Global Module



Should we go abroad?

- **ADDING Value**
- **CIA:** Comparative Institutional Analysis

- Grolsch Beer
- Corruption in International Business

Where should we go?

- **CAGE:** Culture, Administrative, Geographic, and Economic
- **AAA:** Adaptation, Aggregation, and Arbitrage

- European Super League
- Apple
- Zara

How should we go?

- **TCE:** Transaction Cost Economics
- **SM:** Stakeholders Management

- Walmart in China
- Tata Group
- Natura

Roadmap of the Global Module

Class 1. Mapping the Global Arena: Grolsch Beer case

Class 2. The Institutional Environment in Global Markets: Corruption in International Business case

Class 3. Distances in Global Market: European Super League caselet

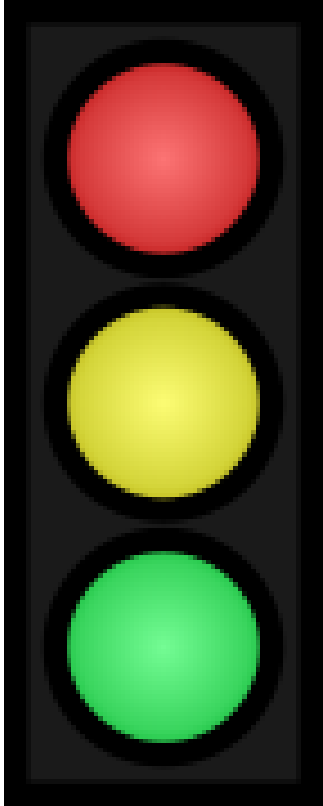
Class 4. International Strategies and Governance Structures: Apple and Zara caselets

Class 5. International Strategies and Entry Modes: Walmart in China case

Class 6. Institutional Voids, Political Risk, and Business Groups: Tata Group case

Class 7. Climate Change, Inclusive Innovation, and Stakeholder Management: Natura case





Why did Grolsch go global?

Where should Grolsch expand?

***Did SAB Miller acquisition
create value?***

Grolsch's Performance in International Markets

- 51.5% of sales in foreign markets
- Sales in over 70 countries

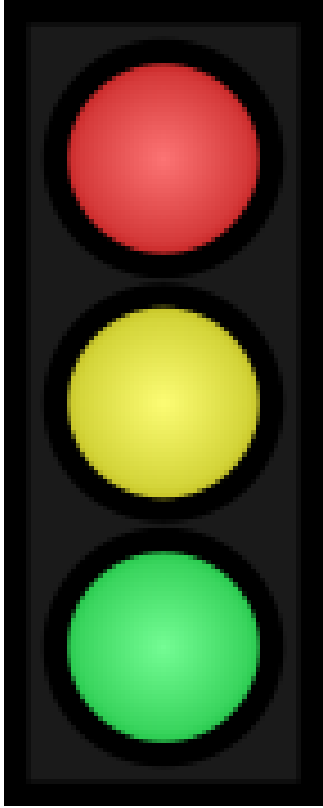
Grolsch's Performance in International Markets

- 51.5% of sales in foreign markets
- Sales in over 70 countries

BUT... “size-ism”

- Profitability lower outside of Western Europe
 - Contribution margin 23% inside vs. 11% outside Western Europe
- Four markets (US, UK, Canada, France) account for 2/3 of international sales; no others more than 1% of total sales
 - Netherlands 65% volume, 80% EBIT
 - UK 25% volume, 15% EBIT

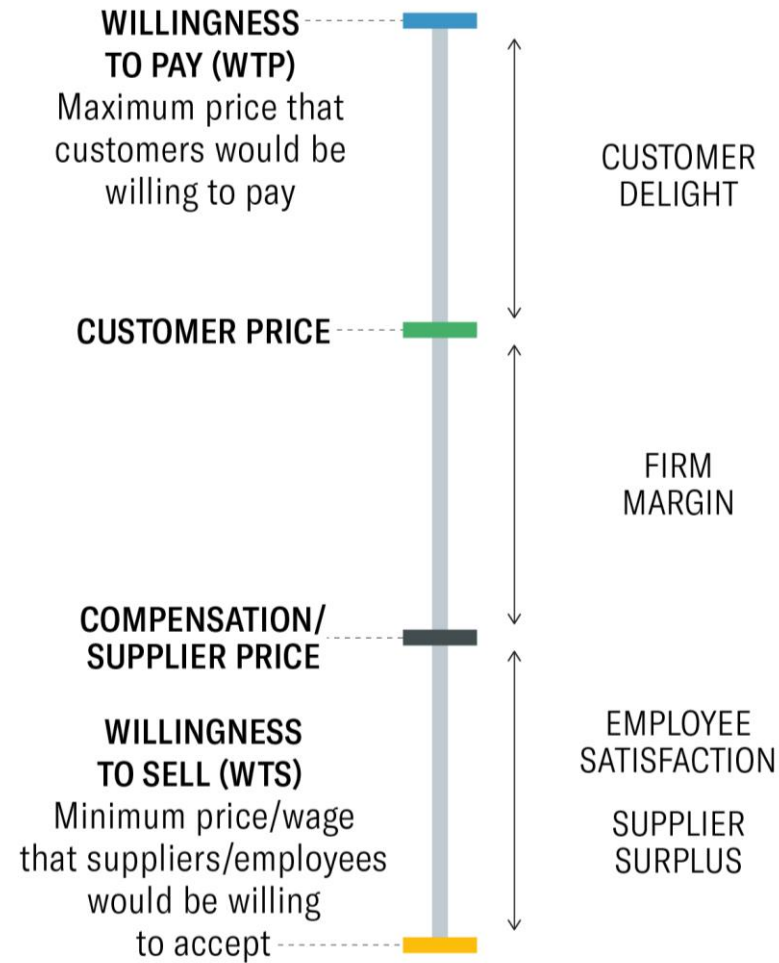
So...



Why did Grolsch go global?

Why Expand: ADDING Value Framework

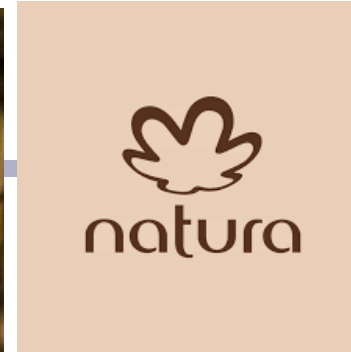
A dding Volume (Growth)
D ecreasing Costs
D ifferentiating / Increase WTP
I mproving Industry Attractiveness
N ormalizing Risk via Diversification
G enerating and Upgrading Knowledge / Capabilities

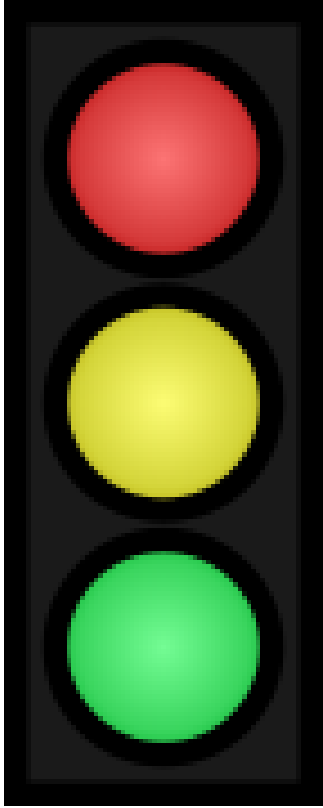


Why Expand: ADDING Value Framework

A dding Volume (Growth)	• Offload existing capacity through exports. Saturated domestic market? • BUT limited evidence of scale-profitability link at brand level
D ecreasing Costs	• Avoid transport costs and tariffs by producing in foreign markets? • Consolidation of suppliers and distributors – bargaining power • BUT beer loses “import” cachet
D ifferentiating / Increase WTP	• “Premium” beer enjoys higher margins & N. Euro = premium • Keeping up with Heineken & others? • BUT beer is local with limited global brands. Is Grolsch a viable one? • 3rd in Dutch market
I mproving Industry Attractiveness	
N ormalizing Risk via Diversification	
G enerating and Upgrading Knowledge / Capabilities	

Why else?





Where should Grolsch expand?



[Video Link](#)



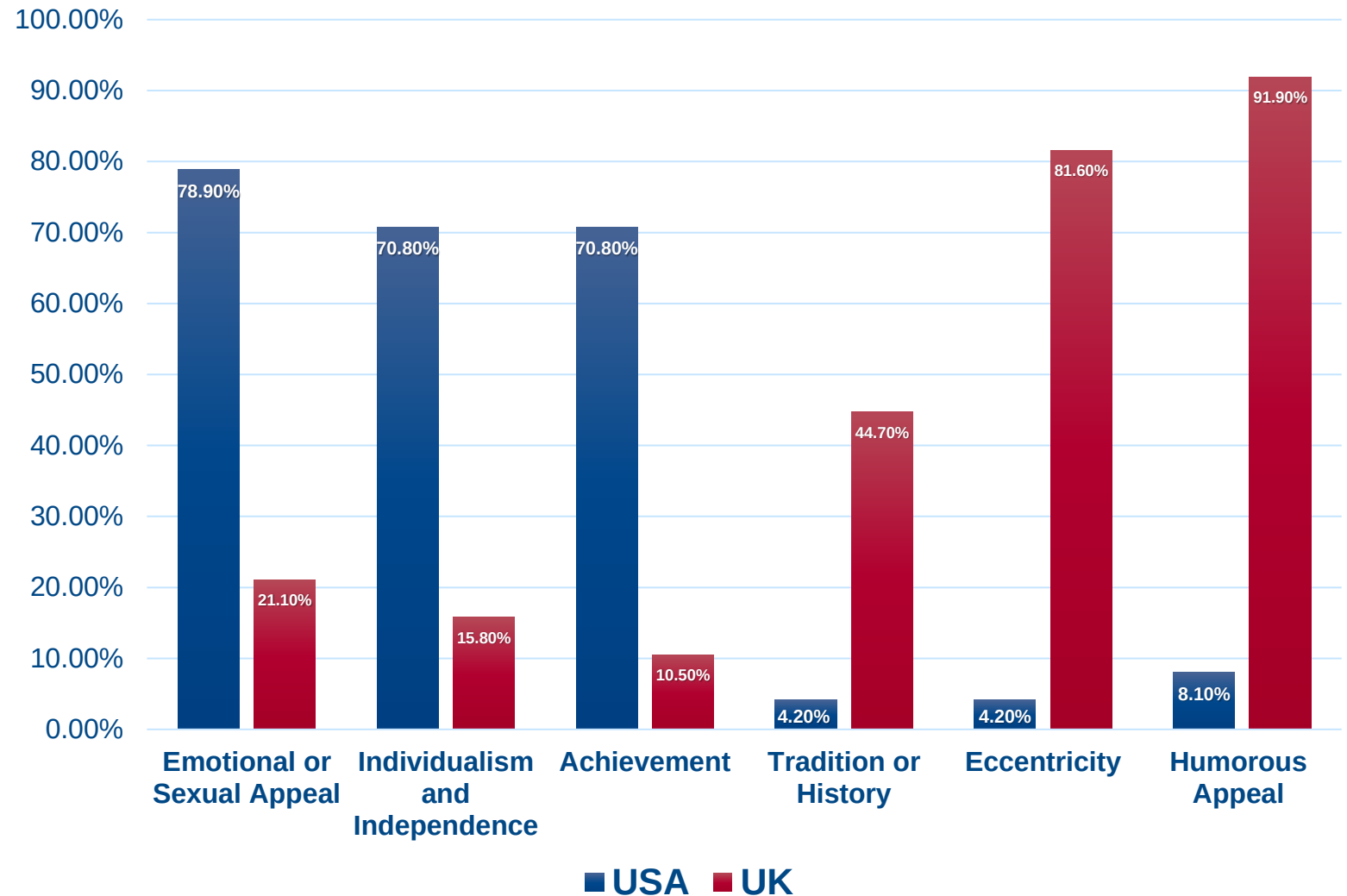
[Video Link](#)

Cultural Differences in US vs. UK Beer Commercials

“(...) Great Britain and the United States differ enough that a standardized advertising approach among the two countries may not be feasible.

The idea that consumers' needs and desires are basically the same everywhere and, by using a uniform marketing approach, an international advertiser can enhance its economic effectiveness clearly will not work in all markets or for all products.”

(Caillat & Mueller, 1996)



Note: Based on Caillat and Mueller (1996) "Observations: The Influence of Culture on American and British Advertising: An Exploratory Comparison of Beer Advertising." *Journal of Advertising Research*. 36(3), 79-88.

CAGE Framework

- What CAGE factors are important for the beer industry?
- Should *Grolsch* enter South Africa or India?



GLOBAL *Beer* CONSUMPTION By Country

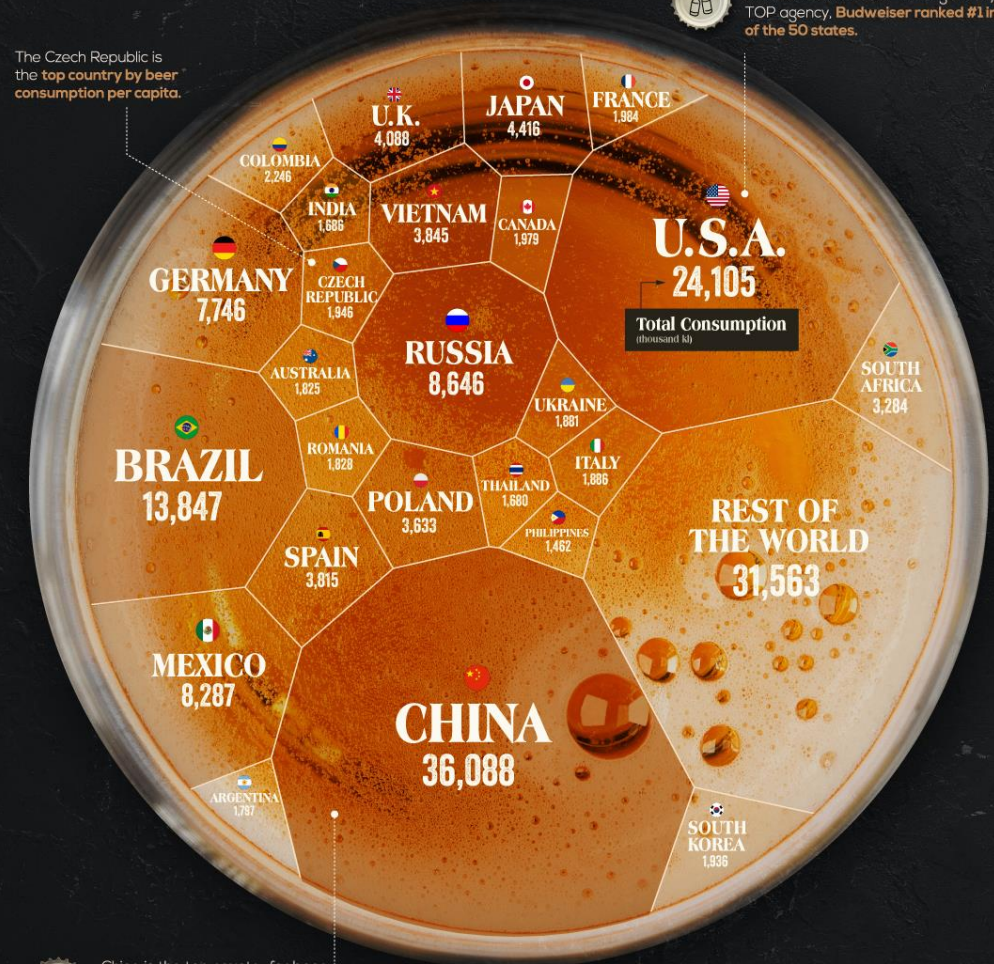
People have been brewing beer since ancient Mesopotamia nearly 7,000 years ago. Today, it's still one of the most highly consumed beverages across the globe. But beer consumption varies greatly, depending on the country.

Where is beer drank the most?



In the U.S., Budweiser is the most popular beer. In a recent beer ranking survey by TOP agency, Budweiser ranked #1 in 23 of the 50 states.

The Czech Republic is the top country by beer consumption per capita.



China is the top country for beer consumption. In 2020, people in China guzzled more than 36 million kiloliters of beer, accounting for a whopping 20.3% of global consumption that year.



COLLABORATORS RESEARCH + WRITING Raul Amoros, Carmen Ang | DESIGN + ART DIRECTION Bhabna Banerjee

[f](#) [/visualcapitalist](#) [t](#) [@visualcap](#) [visualcapitalist.com](#)

Source: Kirin Holdings

CAGE Framework



Cultural	Administrative	Geographic	Economic
• Taste preferences • Loyalty to local beers • Language (labeling, advertising) • Religious prohibitions on alcohol consumption • Differences in consumption patterns (When? Where? Etc?)	• High taxes on alcoholic beverages in most countries • Restrictions on sales and advertising activities • Impact of colony / colonizer relationship in early exports	• Shipping cost and time lag • Climate impacts on beverage preferences; seasonality	• Disposable income differences • Channel structure (e.g., level or organized retail development)



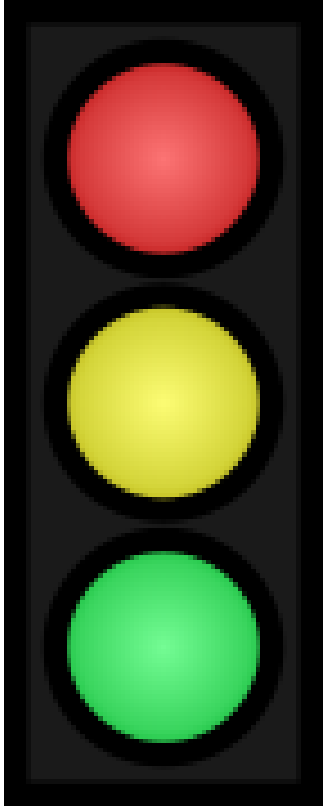
Some key factors for beer industry

CAGE Framework



Cultural	Administrative	Geographic	Economic
• Languages • Ethnicities • Religions • Social norms • Social networks	• Colonial ties • Shared monetary and political ties • Political stability • Government policies • Institutional • Infrastructure	• Physical distance • Common borders • Climates • Transportation links	• Consumer incomes • Resource endowments • Knowledge and information





***Did SAB Miller acquisition
create value?***

What Happened to Grolsch?

2008



Acquired by SAB

- Launched Grolsch in South Africa (SAB home country)
- Good value for Grolsch (84%)

What Happened to Grolsch?

2008



Acquired by SAB

- Launched Grolsch in South Africa (SAB home country)
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Today

- Acquired by Asahi in 2016 during Ambev & SAB merger
- Exited the UK in 2019, went back in 2021.



Relaunching Grolsch in lockdown: 'I've never seen the legs of half the people I work with'

By John McCarthy

The Drum 2020-09-21

After a year long absence from the UK, Grolsch is back. Asahi International's Paul Cornell talks The Drum through a relaunch built by teams from Wunderman Thompson and Outlaw – and without a single in-person meeting. Dutch beer Grolsch has announced its UK return with a £3m marketing campaign,...





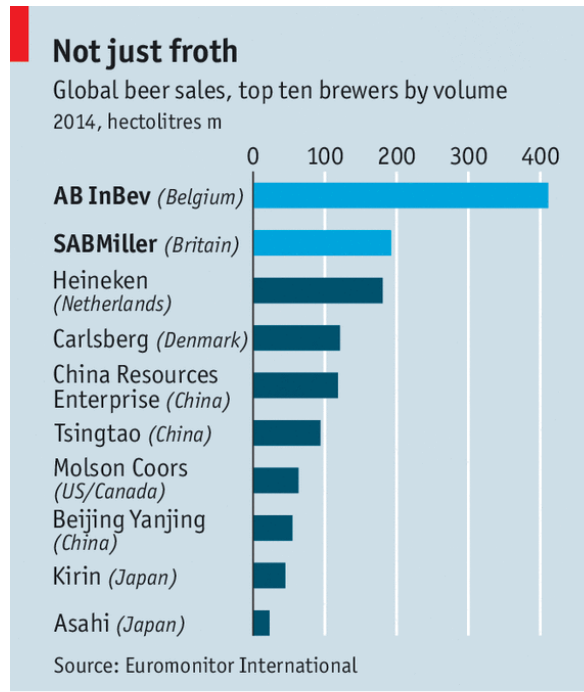
“Beer is still essentially a local business...you make your money in this business where you are number one or at least number two in any given market in which you operate.”

-- Jean-Francois van Boxmeer,
CEO Heineken (2005-2020)

Nature of Globalization of Beer Industry

Growth through acquisition of local brands rather than by entering with own brands

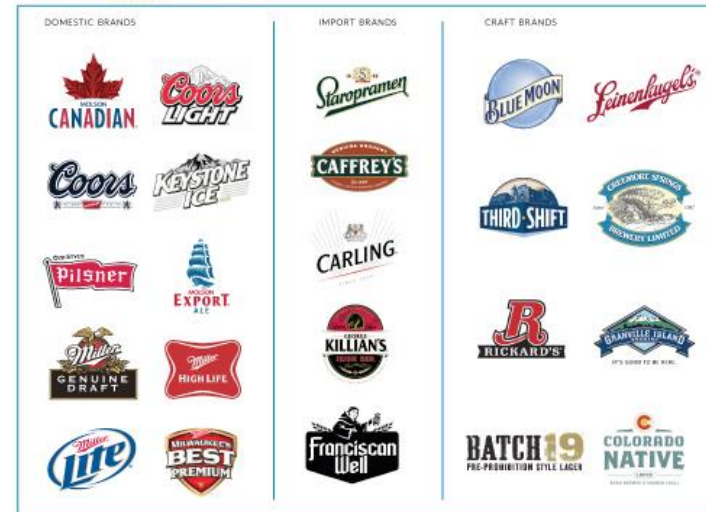
- Rationalizes competition
- Power over distributors
- Power over input suppliers
- Production economies in contiguous markets



Economist.com



MOLSON Coors



HEINEKEN



DIAGEO



Key Takeaways

- Should we go abroad? **ADDING Value Framework**
 - How much value is added: Volume, Margin (Cost, WTP, Industry attractiveness), Uncertainty/Risk, and Knowledge/Resources.
- Where should we go? **CAGE Framework**
 - Differences, not levels
 - Not “bad” or “good” markets; rather “close” or “far”
- Fundamental aspect of global strategy is learning how to manage differences in order to build sustainable competitive advantage.
- **NEXT CLASS**
 - What are some of the uncertainties and risks of going abroad? **CIA (Comparative Institutional Analysis) Framework.**
 - *Navigating different institutional environments and dealing with corruption*

Looking Ahead: Institutional Environment

- Quiz opens at **5PM today** and closes in **72 hours**
 - **15 minutes to answer 3 questions** (open book)
 - Once you start quiz, you can't stop or start over
- **Next Class:**
 - Douglass North (1991) "Institutions" *Journal of Economic Perspectives*
 - Podcast (listen before class) "Is the U.S. Really Less Corrupt than China – and How About Russia?" (Freakonomics Radio Podcast, Episode 481). Click [here](#) to listen.
 - Corruption in International Business: Robert E. Kennedy and Rafael Di Tella. (2001).

QUESTIONS

- *What are "institutions" according to North (1991)? Define.*
- *What explains the relationship between settlers' mortality in the colonial period and countries' current economic development?*
- *What are the three types of "corruption" described by Kennedy and Di Tella (2001)?*



Thank you.

Leo Pongeluppe

pongelup@wharton.upenn.edu



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